

Paper Title

Demand Spillovers from Star Employees: Evidence from Intra-Firm Reassignment Across Brokerage Stores

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Description

This paper studies how firms should allocate star employees across internal units. Using intra-firm reassignment across brokerage stores in China, it shows that star agents generate spillovers by attracting demand to the receiving store, but these gains depend on stores' capacity to absorb the additional demand.

Abstract

Star employees are among a firm's scarcest resources, yet how firms should allocate them within the organization remains poorly understood. Existing research, focused largely on inter-firm mobility, explains star spillovers mainly through supply-side channels such as knowledge transfer, peer learning and collaboration externalities.

We study the intra-firm reassignment of real estate agents across brokerage stores in China, a setting that allows us to isolate the causal effect of star placement from cross-firm sorting and cultural differences. We find that when a star is reassigned to a new store, the receiving store experiences immediate and persistent increases in transactions and commission revenue. The mechanism is primarily demand-side: star placement attracts customers from nearby areas and from the star's former store to the receiving store. However, the star does not increase her own service volume. Instead, the additional demand is largely absorbed by non-star coworkers, generating workplace spillovers by expanding the customer flow available to the receiving store.

The value of star placement depends on the receiving store's capacity. Spillovers are significantly larger in less congested stores, where coworkers have greater ability to absorb the customer demand attracted by the star. By contrast, when stores are close to capacity, the marginal value of star placement declines. These findings shift the managerial problem from fostering collaboration to optimizing the internal deployment of scarce talent across locations with different capacity constraints.

Key Words

Star employees; intra-firm talent allocation; demand-side spillovers